Research evolution - Intel

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Final assembly: October 19, 2026. Historical valuation date: September 1, 2026.

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Project 1 Edition A — Intel Corporation

Prepared for: Fund Investment Committee

Valuation date: September 1, 2026

Company: Intel Corporation (Nasdaq: INTC; CIK 0000050863)

Decision and user

The decision is whether the fund should initiate a position in Intel Corporation. The user is the fund's investment committee, which needs a decision-ready view of the prospective upside, downside, evidence gaps, and work required before committing capital.

Initial thesis: Watch / defer

Do not initiate yet. Intel's Q2 2026 filing shows a meaningful operating improvement: quarterly revenue rose 25% year over year, gross margin expanded, and operating income turned positive. However, the filing also shows substantial balance-sheet pressure, unusual non-operating losses, and material uncertainty around whether improved product demand and execution can generate durable free cash flow. A security-level recommendation also requires a verified market price, enterprise value, normalized earnings or cash flow, and a valuation range as of the valuation date. Those items have not yet been established.

The working thesis is that Intel may merit initiation if the operating recovery proves durable, foundry capital intensity becomes financeable without further material dilution or leverage, and the market price offers an adequate margin of safety. Until those tests are completed, watch / defer is more defensible than initiate.

Known evidence

Primary source throughout: Intel Corporation, Form 10-Q for the quarter ended June 27, 2026, filed July 24, 2026, SEC accession 0000050863-26-000157: SEC filing and SEC filing detail.

1. **Entity and period.** The cover identifies “INTEL CORPORATION” and states that the report covers the quarterly period ended June 27, 2026. The SEC filing-detail page records the July 24, 2026 filing date and accession 0000050863-26-000157.

2. **Operating improvement.** On page 3, the Consolidated Condensed Statements of Operations report Q2 net revenue of **$16.128 billion**, gross profit of **$6.509 billion**, and operating income of **$1.796 billion**, compared with $12.859 billion, $3.542 billion, and a $3.176 billion operating loss, respectively, in Q2 2025. In MD&A, page 33, Intel states that Q2 2026 revenue increased by $3.3 billion year over year, primarily because of higher Intel Products revenue; DCAI revenue rose 59% and CCPG revenue rose 13%.

3. **Large net loss despite positive operating income.** Page 3 reports Q2 net loss attributable to Intel of **$11.033 billion** and diluted EPS of **$(2.16)**. The same statement reports “Interest and other, net” of **$(12.576) billion**, demonstrating that the quarterly net loss was dominated by items below operating income rather than a quarterly operating loss.

4. **Diluted-share evidence.** Page 3 and Note 4 on page 13 report Q2 diluted weighted-average shares of **5.104 billion** and diluted EPS of **$(2.16)**. Note 4 states that potential shares were anti-dilutive because of the net loss and that 70 million anti-dilutive shares were excluded from the Q2 calculation. The cover separately reports 5.044 billion common shares outstanding as of July 17, 2026.

5. **Liquidity and leverage.** The balance sheet on page 5 reports **$12.874 billion** of cash and cash equivalents, **$16.853 billion** of short-term investments, **$1.988 billion** of short-term debt, and **$48.549 billion** of noncurrent debt as of June 27, 2026. MD&A page 39 reports total cash and short-term investments of **$29.727 billion** and total debt of **$50.537 billion**.

6. **Cash generation and capital intensity.** The cash-flow statement on page 6 reports **$8.102 billion** of operating cash flow and **$6.192 billion** of additions to property, plant, and equipment during the first six months of 2026. A simple filing-based proxy of operating cash flow less those additions is approximately **$1.910 billion**, before considering Intel's additional capital-financing arrangements. This is an analyst calculation, not a company-reported free-cash-flow measure.

7. **Financing activity.** MD&A page 39 states that Intel issued $6.5 billion of senior notes in Q2 2026 after settling $1.0 billion of notes due in May. The cash-flow statement reports $13.0 billion of term-debt issuance and $9.0 billion of term-debt repayment for the first six months.

8. **Currency and units.** The financial statements use U.S. dollar signs and state “In Millions, Except Per Share Amounts; Unaudited.” Dollar amounts in this Edition A are therefore USD; financial-statement and share counts are presented in millions unless explicitly converted to billions.

Consequential assumptions

- Q2 revenue growth and positive operating income are early evidence of recovery, but not yet proof of a durable cycle or sustainable normalized margin.

- The large Q2 below-operating-line loss should be separated into recurring and nonrecurring components before valuing normalized earnings.

- Cash plus short-term investments is available for liquidity analysis, but short-term investments should not automatically be treated as excess cash; operating, restructuring, and fabrication commitments may consume it.

- Reported debt of $50.537 billion is the appropriate starting point for enterprise-value work, subject to review of leases, minority interests, strategic financing structures, and other debt-like claims.

- The first-half cash-flow proxy is not a normalized run rate because working capital, restructuring, government incentives, customer deposits, and capital-financing arrangements may distort it.

- No initiation is justified without a market-price timestamp and an explicit downside case that provides an adequate margin of safety.

Unknowns

- Intel's verified closing share price and fully diluted market capitalization on September 1, 2026.

- The recurring versus nonrecurring composition of “Interest and other, net,” including the economic implications of the Escrowed Shares derivative.

- Sustainable segment revenue growth, gross margin, operating margin, and tax rate.

- The timing, cost, utilization, yield, customer commitments, and return on invested capital of Intel's foundry expansion.

- Normalized capital expenditures, government-incentive receipts, working-capital needs, and free cash flow.

- Debt maturity profile, refinancing costs, credit-rating sensitivity, and minimum liquidity needs.

- The appropriate treatment of Mobileye, non-controlling interests, SCIP structures, and other investments in a sum-of-the-parts or enterprise valuation.

- Management guidance subsequent to the filing and evidence that Q2 execution improvements persisted.

- Peer valuation multiples and an appropriate Intel-specific discount or premium.

Research plan

1. Reconcile Q2 GAAP operating income to net income and classify every material below-operating-line item as recurring, nonrecurring, cash, or noncash.

2. Build a quarterly historical model of revenue, gross margin, operating expenses, operating cash flow, capital expenditures, and diluted shares using Intel's SEC filings.

3. Model Intel Products, Intel Foundry, and material other holdings separately, eliminating intersegment revenue and testing foundry utilization and margin scenarios.

4. Reconcile total debt and liquidity to Note 11, contractual commitments, leases, SCIP interests, customer deposits, and other debt-like or equity-like claims.

5. Obtain and timestamp the September 1, 2026 market price from a reliable market-data source; calculate diluted market capitalization, enterprise value, and current valuation multiples.

6. Value Intel using a base, upside, and downside DCF, then cross-check with peer multiples and a sum-of-the-parts analysis. Make revenue growth, gross margin, capital intensity, and cost of capital the principal sensitivities.

7. Review later company filings, earnings materials, and primary-source product/foundry disclosures only after preserving this Edition A, and document every change in Edition B.

8. Define initiation triggers: evidence of durable operating improvement, a credible path to positive normalized free cash flow, balance-sheet resilience, and sufficient valuation upside relative to the downside case.

Partner-generated falsification question

> Would continued cash burn and debt above $50 billion despite stable or growing revenue falsify the thesis that Intel's operating turnaround can create equity value without materially weakening its balance sheet?

No answer is proposed in Edition A.

Dated addendum - October 19, 2026

The original's H1 CFO-minus-investing-capex proxy omitted financing-classified equipment payments. H1 cash equipment spending is 6,192 + 1,423 = 7,615, so that limited CFO-minus-equipment proxy is 487, before finance leases and other adjustments. It is not FCFF. The original expressly labeled its earlier 1,910 amount a simple proxy; the final application uses signed operating FCFF. No line in Edition A has been changed.

The quarterly net loss is heavily affected by escrow mark-to-market below EBIT. The final equity-settlement convention includes escrow shares and removes the derivative liability once. Reported EPS shares cannot substitute for current diluted valuation shares. Final share and claim estimates remain qualified.

Edition B - decision and model evidence

The intended user and decision remain the same: a buy-side committee with no position deciding whether to initiate. The conditional call is **watch / defer, with no initiation at $88.97**, supported by a modeled range of **$0-$15 per share** and explicit execution/funding conditions. Currency is USD; share basis is 5,257m diluted-equivalent proxy. The forecast has a remaining-2026 stub plus five full years through 2031. This is retrospective work using a September 1 source cutoff, not a claim of contemporaneous foresight.

Case	FY2031 revenue	FY2031 FCFF	WACC / g	Equity/share	TV / EV
Low	$67.21bn	$2.40bn	13.57% / 1.5%	$0.00	164.1%
Base	$80.23bn	$7.53bn	11.57% / 2.5%	$4.49	76.2%
High	$95.23bn	$12.00bn	10.57% / 3.0%	$15.21	80.8%

A-to-B change table

Item	Edition A / later labs	Edition B	Driver and evidence
Committee action	Watch / defer; no established range	Watch / defer, conditional $0-$15; no position	Mixed research/model work; source-linked statements and signed FCFF; uncertainty still blocks initiation
Cash-flow measure	CFO-minus-investing-capex proxy; later positive-FCFE classroom component	Full signed FCFF tied to operating statements	Course architecture plus AI implementation; both equipment-payment classifications checked
Near-term operating assumption	Recovery qualitative; lab 5% annual growth	H1 actual plus $32.6bn H2 base; fading forward growth	July Q3 guidance midpoint; Q4 extrapolation explicitly judgment
Date basis	September decision, annual baseline not rolled	June actual -> estimated September bridge -> remaining-year stub	Timing review prevents discounting elapsed cash flows
Shares / claims	Annual EPS shares and several unknown claims	5,257m diluted-equivalent proxy; NCI/other-claim reserves explicit	Filing Notes 3-5; remaining fair-value/dilution uncertainty disclosed
Terminal / WACC	Unresolved; earlier illustrative values	WACC components, cases, grid and terminal share exposed	Treasury fact plus judgment beta/debt spread; not a claimed measured beta
Peer use	Qualified AMD/NVIDIA; target P/E NM	Both P/E and lagged annual-balance EV/sales references	Original policy retained; economic mismatch explains disagreement; no average
Risk	Broad concern about funding/dilution	Low case has a funding gap; capex and margin stresses visible	Driver stresses identify conditions changing watch to do not initiate

Consequential AI-output check

An earlier AI-assisted lab routine valued only positive explicit FCFE, producing a zero positive-cash-flow component. **Reject its use as a complete stock valuation.** Its own code used max(FCFE,0) and omitted terminal value when the final FCFE was negative. Those are classroom restrictions, not a complete enterprise appraisal. Independent controls are the course's 12 published DCF answers, signed-cash-flow formula, and filing-based capex definitions. The final engine retains negative FCFF and separates operating value from equity claims.

A second check corrects a provider-style capex interpretation: the investing line alone is 14,646; the filing's financing equipment line adds 3,026. The total 17,672 is used to anchor the $18bn forecast judgment. The source check verifies the definition, not the future forecast's accuracy.

Human challenge and ownership boundaries

The prior Lab 10 record reports a partner questioning a 44% margin endpoint versus historical 40.04%. Credit: Sam Stewart, identified by Peter Meixner on October 19, 2026. The final 46% base endpoint is still a challenged judgment; near-term 41% guidance does not establish it. The report contains a full value/basis/challenge/reversal record. No new partner exchange has been fabricated.

The original Lab 11 prediction is preserved unchanged, with its historical evidence gaps disclosed. Peter subsequently reported that his professor permits AI to make a realistic prediction. A new receivable-days prediction was explicitly labeled AI-assisted, committed before execution, run and diagnosed with AI assistance. It is not represented as AI-off evidence; acceptance under the reported exception remains the instructor's determination. The complete record is in Validation-and-AI-Use.pdf. Three recordings and corrected actual transcripts remain student-supplied.

What changed from A to B, and why?

The recommendation did not change, but its support did. The final system connects demand, margins, manufacturing investment and working capital to accounting statements, FCFF and per-share value. It makes the recovery demanded by the price explicit and exposes financing failure. Watch/defer remains conditional because valuation of claims, dilution and strategic options is not resolved by accounting identities. This is a model-supported decision framework, not false precision or an AI-owned investment judgment.

Primary sources, dates, transformations and exclusions: docs/evidence-ledger.md. Forecast values and challenges: docs/assumption-challenges.md. All material AI uses and tests: Validation-and-AI-Use.pdf.